MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-B.VOC (HONOURS) REGULAR EXAMINATION

OCTOBER 2026

THIRD SEMESTER

MULTIDISIPLINARY COURSE (MDC)- MG3MDCAAT200

TAXATION AND ECONOMIC DEVELOPMENT IN KERALA

(2025 ADMISSION ONWARDS)

Time :1.5 Hours **Max Marks: 50**

Remember (K), Understand(U), Apply (A), Analyze (An), Evaluate (E), Create (C), Skills (S), Interest (I) and Appreciation (Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

PART A Answer any 15 questions carries 2 marks

Answer in one or two sentences

1. State any two features of the Kerala economy. (U) (CO1)
2. Name two major own tax revenue sources. (U) (CO1)
3. What is Motor vehicle tax? (U) (CO1)
4. What are the major sources of Non-Tax revenue? (U) (CO1)
5. List out the types of Grants. (U) (CO1)
6. State one measure to overcome GST-related challenges in Kerala. (U) (CO2)
7. What are the challenges to State Financial Autonomy. (U) (CO1)
8. What did GST replace? (U) (CO2)
9. What is the main objective of GST? (U) (CO2)

10. What is digital compliance under GST? (U) (CO2)
11. State one tax benefit available to tourism-related activities. (U) (CO3)
12. State one benefit of promoting the agricultural sector. (U) (CO3)
13. State two government incentive that may support IT Park development. (U) (CO3)
14. What is a startup? (U) (CO3)
15. Who generally pays property tax? (U) (CO3)
16. Name one tax collected by Municipalities. (U) (CO3)
17. What is the main function of the GST Council? (U) (CO2) **(15*2=30)**

PART B MCQ Answer any 10 questions carries 2 marks

18. Which is the major source of revenue for the government of Kerala?

a. Donations b. Taxes c. Loans d. Grants (U) (CO1)

19. Which of the following is a direct tax?

a. GST b. Income tax c. Customs duty d. Excise Duty (U) (CO1)

20. GST is an example of:

a. Direct Tax b. Indirect Tax c. Wealth Tax d. Property Tax (U) (CO1)

21. State financial autonomy refers to:

A) Independence in foreign trade B) Freedom to manage state finances
C) Collection of customs duty D) Export promotion (U) (CO1)

22. Which period is associated with the earliest tax system in Kerala?

A) British period B) Ancient and Medieval period
C) Post-independence period D) GST period (U) (CO2)

23. Licence fees collected by the government are classified as:

A) Tax Revenue B) Non-Tax Revenue
C) Capital Receipt D) Public Debt (U) (CO2)

24. Revenue received through taxes is called:

A) Capital Revenue B) Tax Revenue
C) Non-Tax Revenue D) Borrowed Revenue (U) (CO2)

25. Tax incentives in the Tourism sector are mainly intended to

A. Reduce tourism activities
B. Encourage investment in tourism infrastructure
C. Increase unemployment
D. Reduce tourist arrivals (U)(CO3)

26. Tax benefits to the agricultural sector are mainly provided to

A. Discourage farming
B. Promote agricultural development
C. Increase import of food products
D. Reduce agricultural production (U)(CO3)

27. which is a major objective of providing incentives to IT Parks?

A. Creating employment opportunities
B. Reducing technological development
C. Discouraging IT companies
D. Increasing unemployment (U)(CO3)

28. E-governance refers to the use of ____ in providing government services

A. Information and communication technology
B. Traditional methods only
C. Manual registers only
D. Cash transactions only (U)(CO3)

29. The power of a Municipality to impose certain local taxes is mainly intended to

A. Generate revenue for local administration
B. Reduce local services
C. Control national taxation
D. Replace the Central Government (U)(CO3)

(10*2=20)